ACF · Financial ratios and reporting analysis — Question Patterns and Methods

Based on 31 past-exam parts, 2020–2025 papers, their marking keys and the examiners' reports.

First: where marks are lost most

- Using the case figures and the stimulus. The extended-answer reports say answers often lacked depth and did not refer to the information provided. Interpretation parts (patterns 6, 7, 8, 11) lose marks when students quote a ratio but do not tie it to the company in the stimulus.
- Interpreting ratios with no judgement. Keys for pattern 7 reward a comparison with a benchmark or prior year and an explanation of what the change means for the business. Pattern 8 keys reward the debt position quoted with its ratio figures and an explanation of its effect on the company. A bare number or a restated definition earns little.
- Balances used in averages and denominators. Efficiency and profitability keys reward averaging opening and closing balances, and the right denominator. Errors come from single-date balances, from using total assets where the key wants closing equity (pattern 4), and from using total liabilities where it wants current liabilities (pattern 1).
- Share counts and money units in market ratios. Pattern 5 keys reward time-weighted share counts (shares × months ÷ 12) and EPS and price in consistent units (cents). Unweighted share counts and mixed dollars and cents lose the marks.
- Terminology and time management. The reports note that many candidates did not use Accounting and Finance terms and that attempts at later parts fell away as the section went on. Use the course terms exactly and plan time across all parts of the chosen question.

Pattern 1: Calculate and identify liquidity ratios

How often: 2/6 papers · 2.5 marks when it appears · 0.4% of a paper.

Recognise it: a request for the current ratio, working capital ratio, or quick asset ratio; a multiple-choice question asking what a ratio expresses; a table with balance sheet figures and the ratios to fill in.

Method

1. Name the ratio and its formula: current ratio = current assets ÷ current liabilities; quick asset ratio = (current assets − inventory − prepayments) ÷ current liabilities.
2. Pull current assets and current liabilities from the balance sheet, not total assets or total liabilities.
3. Remove inventory and prepayments from current assets before dividing for the quick asset ratio.
4. Calculate to the number of decimal places the question asks for and present it in the requested form (x:1 or %).
5. Write each result in the column the table names, for the year asked.

What the key rewards

- Current assets used in the current ratio.
- Current liabilities used in the current ratio.
- Quick assets calculated after excluding inventory and prepayments.
- Current liabilities used as the denominator of the quick asset ratio.
- For the multiple-choice part: the one option that matches the ratio's meaning.

Common errors: leaving inventory or prepayments in quick assets; using total liabilities instead of current liabilities; reporting the ratio without the required decimal places or form.

Past questions: 2021 MC Q3, 2020 SA Q17(a)

Pattern 2: Calculate and identify efficiency ratios

How often: 4/6 papers · 4.5 marks when it appears · 1.3% of a paper.

Recognise it: "debtors' collection", "inventory turnover", "average debtors", "average inventory", "days" or "times per year"; a question asking what a ratio measures; a request to identify ratios for a business that sells on credit.

Method

1. Identify the ratio and what it measures: days taken to collect receivables; number of times inventory is sold or replaced in a year.
2. Find the opening and closing balances, then average them for debtors and inventory.
3. Debtors' collection period = average debtors ÷ net credit sales × 365.
4. Inventory turnover = cost of sales ÷ average inventory (answer in times per year).
5. For a discussion part, state what the ratio measures, then say how it evaluates management, e.g. slow collection ties up cash, slow turnover means stock is held too long.

What the key rewards

- Opening and closing receivables used, then the average receivables calculated.
- Average receivables divided by net credit sales and multiplied by 365, giving the days.
- Opening and closing inventory used, then the average inventory calculated.
- Cost of sales divided by average inventory, giving the times per year.
- For the discussion: a description of what each ratio measures, a statement of how it is used, and an identification of the ratio, with marks scaled to depth.

Common errors: using a closing balance alone rather than the average; using sales instead of cost of sales for inventory turnover; forgetting the 365; describing a ratio without saying how it evaluates management.

Past questions: 2025 MC Q7, 2023 SA Q20(b), 2022 SA Q19(c), 2020 MC Q4

Pattern 3: Calculate and identify profitability ratios

How often: 2/6 papers · 3.5 marks when it appears · 0.5% of a paper.

Recognise it: "times interest earned", "return on assets", "profit ratio"; a multi-ratio table with workings; a multiple-choice question asking which ratio uses profit.

Method

1. Identify the ratio and the profit or balance it needs.
2. Times interest earned = operating profit ÷ interest expense.
3. Return on assets = (operating profit + interest expense) ÷ average total assets, where average total assets = (opening + closing) ÷ 2.
4. Present the return on assets as a percentage and the times interest earned as a multiple.
5. For the multiple-choice question, match the ratio to the option that uses profit as an input.

What the key rewards

- Operating profit used as the numerator for times interest earned.
- Interest expense used as the denominator for times interest earned.
- Operating profit plus interest expense used in return on assets.
- Opening and closing total assets added and divided by two for average assets.

Common errors: leaving interest out of the return on assets numerator; using closing assets alone.

Past questions: 2022 SA Q19(b), 2021 MC Q4

Pattern 4: Calculate and identify financial stability ratios

How often: 5/6 papers · 2.2 marks when it appears · 0.8% of a paper.

Recognise it: "leverage", "debt to equity", "long-term financial stability"; a balance sheet extract with total assets and total liabilities; a multiple-choice question about the relationship between borrowings and equity.

Method

1. Identify the ratio: debt to equity = total liabilities ÷ equity (end of year).
2. Where equity is not given, calculate it as total assets − total liabilities at the same date.
3. Divide liabilities by the closing equity, not the opening equity or total assets.
4. Express the result as a ratio or a percentage, as the question states.
5. For a multiple-choice question about leverage, choose the option describing the relationship between borrowings and equity.

What the key rewards

- Total liabilities used in the debt-to-equity ratio.
- Total equity used as the denominator, or equity derived from assets less liabilities.
- Closing equity used for the year-end ratio.
- The correct ratio reported to the required precision.

Common errors: using total assets as the denominator; using opening equity; confusing leverage with the liquidity ratios.

Past questions: 2025 MC Q13, 2024 MC Q13, 2023 MC Q3, 2023 SA Q20(b), 2022 MC Q1, 2022 SA Q19(b), 2020 SA Q17(a)

Pattern 5: Calculate and identify market ratios

How often: 4/6 papers · 5.5 marks when it appears · 1.6% of a paper.

Recognise it: "earnings per share", "price/earnings ratio", "dividend yield"; a request to calculate ratios for two years; a share capital note showing shares issued at different dates.

Method

1. Work out the weighted average number of shares: for each period, shares × months ÷ 12, then add the periods together.
2. Earnings per share = profit after tax ÷ weighted average shares, then × 100 to express it in cents (e.g. $820,000 ÷ 5,250,000 ≈ $0.1562 = 15.62 cents).
3. Price/earnings ratio = market price per share ÷ earnings per share, using the same unit (cents) for both.
4. Dividend yield = dividend per share ÷ market price per share, using the same unit for both.
5. Check that money units are consistent before dividing and state the result in the question's form.

What the key rewards

- Weighted average shares calculated for each part of the year, with the months used as the weight.
- Profit after tax used as the earnings-per-share numerator for each year.
- The market price for the correct year used in the price/earnings ratio.
- Earnings per share in the same units as the market price used in the price/earnings ratio.
- Dividend per share and market price for the same year used in the dividend yield.

Common errors: using the simple share count instead of the weighted average; mixing dollars and cents; using the wrong year's price or dividend.

Past questions: 2025 MC Q9, 2025 SA Q17(b), 2024 MC Q6, 2024 MC Q11, 2024 MC Q12, 2022 SA Q19(b), 2021 MC Q2

Pattern 6: Interpret liquidity and cash constraints

How often: 1/6 papers · 7.0 marks when it appears · 0.5% of a paper.

Recognise it: "comment on the working capital/current and quick asset ratios"; "what the trend indicates"; a request about the company's ability to meet its debts; a cash-position table with a financial constraint to explain.

Method

1. State what each ratio measures: the current ratio shows cover of current liabilities by current assets; the quick asset ratio gives the same cover without inventory and prepayments.
2. Quote the change over the years with the figures from the table.
3. Explain the trend: a falling ratio means less cover for short-term debts.
4. Link the trend to the company's ability to meet its debts, using the stimulus material.
5. Use the terms "current assets", "current liabilities" and "liquidity" correctly.

What the key rewards

- An explanation of what the current and quick ratios measure.
- A statement of what the trends in both ratios indicate about meeting debts.
- A conclusion tied to the company's situation in the stimulus.

Common errors: describing the ratios without the trend; not using the figures from the table; generic answers that could apply to any company.

Past questions: 2020 SA Q17(b), 2020 EA Q22(c)

Pattern 7: Interpret efficiency and recommend management action

How often: 3/6 papers · 6.7 marks when it appears · 1.4% of a paper.

Recognise it: "comment on how the business is managing its inventory and debtors"; "compare with the industry average"; "discuss how efficiency ratios can be used as key performance indicators".

Method

1. Compare the ratio with the prior year or with the benchmark given in the question.
2. Explain the direction: a longer collection period means slower collection and more cash tied up; a lower inventory turnover means stock is held longer.
3. Explain the implication for the business: cash flow, risk of holding unsold stock, or the need for tighter credit control.
4. Propose one action for each area, and link it to the evidence (e.g. tighter credit terms for debtors, better stock planning for inventory).
5. For KPI discussion, explain how directors would set a target and act when the ratio moves away from it.

What the key rewards

- A comment on inventory management using the change in turnover and its benchmark.
- An identified action to improve inventory performance.
- A comment on debtor management using the change in collection period and its benchmark.
- An identified action to improve debtor performance.
- For a benchmark comparison: the company's figure compared with the benchmark, and an explanation of slower collection and the debtor-control implication.
- For KPI discussion: each ratio explained against a KPI and directors' decisions, with marks by depth.

Common errors: quoting numbers without comparison; generic actions not linked to the stimulus; stating a KPI without explaining how directors would use it.

Past questions: 2024 EA Q23(a), 2023 SA Q20(c), 2023 EA Q22(b), 2020 SA Q17(d)

Pattern 8: Interpret financial stability and financing risk

How often: 1/6 papers · 6.0 marks when it appears · 0.4% of a paper.

Recognise it: "explain what the debt to equity ratio reveals"; a request about financing risk or the ability to support a decision; interest-coverage evidence in the stimulus.

Method

1. Quote the debt position from the stimulus, with the ratio or the change in it.
2. Explain the rise in debt and what it means for the company: higher interest costs, less room to borrow, and a larger loss if profits fall.
3. Link the risk to the decision in the question.
4. Keep the explanation specific to the company, not general debt theory.

What the key rewards

- A statement of the debt position with the ratio figures.
- An explanation of the effect of the rising debt on the company.
- A link from the debt position to the company's financing risk, with the mark depending on how far the explanation goes.

Common errors: stating the ratio without explaining its effect; general comments about debt not tied to the company.

Past questions: 2020 SA Q17(c), 2020 EA Q22(c)

Pattern 9: Evaluate investor appeal and profitability

How often: 1/6 papers · 4.0 marks when it appears · 0.3% of a paper.

Recognise it: "more or less attractive to investors"; a request to discuss results of ratios calculated in an earlier part.

Method

1. Identify the market ratios calculated in the earlier part: earnings per share, price/earnings ratio, dividend yield.
2. Compare each ratio across the two years and state the direction.
3. Judge investor appeal from the combined direction, e.g. higher earnings per share with a steady price/earnings ratio.
4. Give a reasoned conclusion and note any limitation of the evidence.

What the key rewards

- A discussion of investor attractiveness using the calculated ratios.
- The marks are given by quality band, not added: a clear, reasoned judgement at the top band.

Common errors: listing the ratios without a conclusion; a conclusion that contradicts the ratios.

Past questions: 2025 SA Q17(c)

Pattern 10: Predict transaction effects on financial ratios

How often: 2/6 papers · 1.0 mark when it appears · 0.1% of a paper.

Recognise it: "what would be the effect of recording" a transaction; "assuming all else remains the same"; a question asking which ratio would rise or fall.

Method

1. Identify the transaction's effect on the balance sheet and income statement, e.g. an accrued expense increases liabilities and reduces profit.
2. Trace each effect into the ratio's numerator and denominator.

3. Decide the direction of the change: if the denominator rises the ratio falls; if the numerator rises the ratio rises.
4. Check both sides: a change may affect both the numerator and the denominator.

What the key rewards

- The one option where the direction of each ratio matches the trace of the transaction.

Common errors: tracing only one side of the transaction; confusing the direction of change; forgetting that a lower profit lowers earnings per share.

Past questions: 2025 MC Q14, 2023 MC Q15

Pattern 11: Explain limitations of financial analysis

How often: 3/6 papers · 7.0 marks when it appears · 1.5% of a paper.

Recognise it: "explain two limitations", "explain three limitations", "limitations in assessing performance from financial statement analysis"; a question about what investors can rely on.

Method

1. Name the limitation, e.g. historical figures, accounting policy choices, a single-year snapshot, limited non-financial information, or differences in comparability.
2. Explain why the limitation matters for assessing this company or this decision.
3. Connect the explanation to the stakeholder or decision in the question.
4. Repeat for each limitation asked, giving each its own explanation, not a list.

What the key rewards

- One explained limitation of financial information or ratio analysis for each mark band required.
- Each limitation explained at full depth, linked to the stakeholder and decision.

Common errors: naming limitations without explanation; repeating one limitation in two forms; general limitations not related to the decision or stimulus.

Past questions: 2024 EA Q23(d), 2023 EA Q22(c), 2022 EA Q22(d)

Pattern 12: Historical cancelled item: administrative credit

How often: not recorded (no parts in the evidence; this is the cancelled 2021 item) · no marks recorded · no share recorded.

Recognise it: a 2021 item withdrawn because its date is missing, which stops an earnings-per-share calculation.

Method

1. Note that this item was cancelled and carries no working method to practise.
2. For earnings-per-share working, use the method in Pattern 5.

What the key rewards

- No award is recorded in the evidence; the item is kept as the official all-answer record.

Common errors: none recorded.

Past questions: none in the evidence.
